Rolls-Royce Holdings plc

Company Research & Investment Analysis

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Executive Summary

Rolls-Royce Holdings plc is a UK-based engineering and technology company specialising in highly complex, safety-critical power and propulsion systems. Despite its famous name, Rolls-Royce Holdings is **not primarily a luxury-car company**. The modern Rolls-Royce Holdings group operates principally across **Civil Aerospace**, **Defence and Power Systems**.

Its products are used in commercial and business aircraft, military aircraft and submarines, power-generation systems, data centres, marine applications and other mission-critical environments.

The company has historically been known for world-class engineering, but its financial performance was significantly weaker than its technological reputation suggested. This changed following a major transformation programme launched under Chief Executive Tufan Erginbilgic in 2023. The strategy has focused on improving commercial discipline, reducing costs, strengthening working capital, increasing margins and allocating capital more effectively.

The results of this transformation became particularly visible in 2025.

Underlying operating profit increased from approximately £2.5bn in 2024 to £3.5bn in 2025, while the underlying operating margin increased from 13.8% to 17.3%. Free cash flow increased from £2.4bn to £3.3bn, and net cash increased from approximately £475m to £1.9bn.

The improvement continued into 2026. In H1 2026, underlying operating profit reached £2.534bn, up 46% year-on-year, while the underlying operating margin increased to 22.5%. Free cash flow reached approximately £1.964bn, compared with £1.582bn in H1 2025. Net cash increased to £2.14bn at 30 June 2026.

Management subsequently raised its FY2026 guidance to:

- £4.7bn-£4.9bn underlying operating profit.
- £3.8bn-£4.0bn free cash flow.

This represents another significant step up from 2025.

The investment case therefore rests on a combination of:

1. A successful operating transformation
2. Strong growth in high-margin aftermarket services
3. Growing demand for widebody aircraft
4. Increasing global defence spending
5. Rapid growth in data-centre power demand
6. A strengthening balance sheet
7. Improving capital returns to shareholders
8. Potential long-term growth from nuclear and other emerging technologies

However, Rolls-Royce is not without risk. Its businesses are exposed to supply-chain disruption, aircraft utilisation, airline financial health, defence budgets, government policy, foreign exchange movements, technological change, geopolitical events and significant long-term contractual assumptions.

Overall Rolls-Royce has transitioned from being primarily a **turnaround story** into a company increasingly characterised by **profitability**, **cash generation**, **balance-sheet strength and shareholder returns**.

What is Rolls-Royce?

A key point for understanding the investment case is that the name “Rolls-Royce” can be confusing.

The company analysed in this report is **Rolls-Royce Holdings plc**, the publicly listed engineering group.

It should not be confused with Rolls-Royce Motor Cars, the luxury-car manufacturer. Rolls-Royce Motor Cars is owned by BMW and is a separate business.

Rolls-Royce Holdings describes itself as developing and delivering complex power and propulsion solutions for safety-critical applications in the air, at sea and on land.

In simple terms:

“Rolls-Royce builds and services some of the world's most technically complex engines and power systems.”

Its products are designed for applications where failure is unacceptable or extremely costly.

This creates an important competitive advantage: customers are not simply buying an engine. They are often buying an entire ecosystem of engineering expertise, maintenance, servicing, reliability and long-term support.

Company History and Evolution

Rolls-Royce has more than a century of engineering heritage and has become one of the world’s best-known aerospace and engineering companies.

Its historical strength has been the development of highly sophisticated engines and propulsion systems.

However, engineering excellence does not automatically translate into strong shareholder returns.

The company entered the 2020s facing substantial financial and operational challenges. The COVID-19 pandemic was particularly damaging because the Civil Aerospace business is heavily connected to commercial aviation activity. When aircraft stopped flying, demand for engine maintenance and servicing was severely affected.

The company subsequently embarked on a major transformation programme.

The central philosophy was effectively:

Engineering excellence -> commercial discipline -> higher profitability -> stronger cash flow -> shareholder returns

The transformation focused on:

- Cost reduction;
- Simplifying the organisation;
- Improving procurement;
- Improving working capital;
- Improving pricing;
- Commercial optimisation of contracts;
- Increasing aftermarket profitability;
- Improving operational efficiency;
- Reducing complexity;
- Better capital allocation.

The 2025 Annual Report states that Rolls-Royce’s objective is to translate its technical and market success into stronger financial results. Management upgraded its mid-term targets to **£4.9bn-£5.2bn underlying operating profit, 18-20% operating margin, £5.0bn-£5.3bn free cash flow and 23-26% return on capital**, based on a 2028 timeframe.

This is important from an investment perspective because it indicates that management believes the improvement is not simply cyclical.

Business Model

Rolls-Royce operates through three principal divisions:

- **Civil Aerospace** (the largest of all three and most financially significant)
- **Defence**
- **Power Systems** (least obvious part)

A section will be dedicated to each of these divisions.

Division 1: Civil Aerospace

Information

Civil aerospace is the largest and most financially significant part of the group.

It develops and manufactures aircraft engines for:

- Large commercial aircraft;
- Business aviation;
- Regional aircraft.

However, the investment case is not simply about selling engines.

A major part of the business model is the **aftermarket**.

Once an aircraft engine is installed, it requires regular maintenance, repairs, inspections and servicing throughout its operating life.

Rolls-Royce therefore generates revenue from both:

Original Equipment (OE) and **Services/Aftermarket**

This distinction is extremely important.

Engine sales can be relatively low-margin, particularly when competing aggressively for major aircraft programmes.

The aftermarket can be significantly more attractive because this installed engine fleet creates a long-term relationship with the customer. In 2025, Civil Aerospace generated:

- **£10.382bn underlying revenue**
- **£2.130bn underlying operating profit**
- **20.5% underlying operating margin**

Revenue increased 15% organically, while underlying operating profit increased 41%. Services revenue increased 21% to £7.165bn.

This demonstrates one of the most important features of Rolls-Royce's investment case:

"The installed engine base can generate recurring aftermarket revenue long after the original engine has been delivered."

Understanding Rolls-Royce's Long-Term Service Agreements

One of the most important concepts for understanding Rolls-Royce is its **Long-Term Service Agreements (LTSAs)**.

An LTSA is essentially a long-term agreement under which Rolls-Royce provides maintenance and support for an engine. Rather than relying solely on customers paying for individual repairs, Rolls-Royce can establish long-term relationships based around engine utilisation and flying hours. This creates a recurring revenue stream.

A simplified example:

1. **Aircraft manufacturer** – Rolls-Royce sells an engine
2. **Airline** – Airline operates aircraft
3. **Rolls-Royce** – Rolls-Royce monitors, maintains and services the engine
4. **Long-term revenue** – The company receives service-related revenue over the engine's operating life.

This is strategically valuable because it creates a large installed base of engines that can produce future service revenue.

In 2025, Civil Aerospace LTSAs invoiced flying-hour receipts were approximately **£6.0bn**, compared with £5.5bn in 2024. Trading cash flow increased to £2.5bn, while LTSA balance growth net of risk and revenue-sharing agreements was approximately £0.6bn.

For an investor, this creates greater visibility into future revenue than a purely project-based engineering business would have.

Why it Matters?

Civil Aerospace is arguably the most important part of the investment thesis.

The business benefits from several structural trends.

- **Recovery and growth in global aviation**

  More passengers travelling means more aircraft flying. More aircraft flying means:

  More engine utilisation -> more maintenance -> more aftermarket revenue

  This makes engine flying hours an important driver of the business.

- **Growth in widebody aircraft**

  Rolls-Royce is particularly strong in large engines used by widebody aircraft.

  The company therefore has exposure to long-haul aviation.

- **Installed fleet**

  Once a Rolls-Royce engine is installed on an aircraft, the company has a long-term relationship with the customer.

  This creates an attractive recurring revenue opportunity.

- **Time-on-wing**

  One of Rolls-Royce's major operational objectives is to increase the amount of time an engine can operate before requiring maintenance.

  The company has targeted more than a 100% increase in time-on-wing for its in-production Trent engines, by the end of 2027, with more than half of the targeted improvement already delivered by the end of 2025.

  Longer time-on-wing has two potentially positive effects:

1. Customers receive better engine reliability;
2. Rolls-Royce can reduce maintenance costs and improve the economics of its aftermarket contracts.

This is a good example of an operational improvement translating into financial value.

Division 2: Defence

Information

The second major division is Defence.

Rolls-Royce provides power and propulsion systems for military applications.

The division is involved in:

- Military transport aircraft;
- Combat aircraft;
- Naval systems;
- Submarines;
- Helicopters.

A particularly important capability is nuclear propulsion.

Rolls-Royce designs, supplies and supports the nuclear propulsion plant for the UK's Royal Navy nuclear submarines.

The company is also involved in major defence programmes including the F-130 engine for the US B-52 programme, the MQ-25 unmanned refuelling aircraft and the Global Combat Air Programme (GCAP).

Why Defence Is Attractive?

The defence market has several characteristics that can make it attractive to investors.

1. **Long programme lives**

   Defence programmes can run for decades, giving long-term revenue visibility.

2. **High barriers to entry**

   Developing military engines requires:

   - Advanced engineering;
   - Security clearances;
   - Government relationships;
   - Enormous R&D investment;
   - Extensive testing;
   - Proven reliability.

   This makes it difficult for new competitors to enter.

3. **Government customers**

   Defence demand is less directly linked to consumer spending than commercial aerospace.

4. **Increased geopolitical spending**

   Governments across Europe and elsewhere have been increasing defence expenditure.

Rolls-Royce therefore has exposure to a structural increase in defence investment.

In 2025, Defence generated:

- **£4.772bn underlying revenue**
- **£689m underlying operating profit**
- **14.4% operating margin**

Revenue increased 8% on an organic basis (5.5% reported), while underlying operating profit increased from £644m in 2024 to £689m.

Management's mid-term Defence margin target is 14–16%, supported by stronger aftermarket performance, increased original-equipment volumes, productivity improvements and capacity expansion.

Division 3: Power Systems

Information

Power Systems is perhaps the least obvious part of Rolls-Royce to someone unfamiliar with the company.

The division provides power-generation and propulsion technologies for applications including:

- Data centres;
- Government customers;
- Marine applications;
- Industrial customers;
- Energy infrastructure;
- Battery energy-storage systems.

A major brand within Power Systems is **mtu.**

The business has become increasingly important because of the growth in demand for reliable electricity. The sections below look at three of its growth areas.

The Data-Centre Opportunity

One of the most interesting investment themes within Rolls-Royce is data centres.

Artificial intelligence and cloud computing require enormous amounts of computing power. Computing power requires electricity. Data centres therefore need highly reliable power infrastructure.

Rolls-Royce's Power Systems division supplies power-generation systems that can be used in this environment.

This creates an indirect way for investors to gain exposure to the growth of AI infrastructure.

In 2025, Rolls-Royce reported profitable growth in power generation, particularly in data centres and governmental applications.

Management's mid-term plan is particularly ambitious:

- approximately **20% annual OE revenue growth in power generation**, driven by data centres;
- approximately **20% annual governmental OE revenue growth**, reflecting increased global defence spending;
- **5-7% annual marine OE revenue growth**;

- Double-digit OE revenue growth in battery-energy storage systems.

The Power Systems mid-term margin target is **18-20%**, compared with 17.4% in 2025.

This makes Power Systems a significant potential growth engine.

Battery-Energy Storage

Rolls-Royce is also expanding into battery energy storage systems.

In 2025, the company reported that it had delivered mtu battery storage solutions for more than 200 projects worldwide.

One major order from Ignitis Group involved systems with:

- **582 MWh of storage capacity**
- **291 MW of output**

This was described as the largest battery order Rolls-Royce had received at that point. This provides Rolls-Royce with exposure to the broader energy-transition market.

Small Modular Reactors

Another potential long-term growth opportunity is nuclear power.

Rolls-Royce SMR is developing small modular reactors.

Small modular reactors could potentially provide reliable, low-carbon electricity while requiring less construction complexity than traditional large nuclear plants.

This market is still developing, meaning it should not be treated as an established source of current earnings.

However, it could become strategically important over the long term, especially as governments seek reliable, low-carbon power to meet climate and energy-security goals.

In H1 2026, Rolls-Royce stated that following its success in Sweden, Rolls-Royce SMR had been successful in every competitive European nuclear tender it had entered.

This illustrates the optionality embedded in the company beyond its established aerospace business.

2025 Financial Performance

The financial transformation is arguably the most important part of the investment case.

Key FY2025 Figures

Metric	FY2025	FY2024	Change
Underlying operating profit	£3.5bn	£2.5bn	40.5%
Operating margin	17.3%	13.8%	+3.5pp
Free cash flow	£3.3bn	£2.4bn	34.8%
Net cash	£1.895bn	£475m	298.9%
Liquidity	£8.7bn	£8.1bn	7.4%
Order backlog	£88.1bn	£82.1bn	7.3%
Gross R&D expenditure	£1.4bn	£1.5bn	(6.7%)

The Annual Report records £4.5bn of statutory operating profit versus £3.5bn underlying operating profit (statutory revenue £21.2bn vs underlying revenue £20.1bn).

The distinction between statutory and underlying profit is important.

Underlying vs Statutory Profit

Statutory Profit is the accounting result reported under accounting standards.

Underlying Profit is Rolls-Royce's measure intended to show the performance of the underlying business after adjusting for certain items.

For investment analysis, both should be examined.

In 2025:

Statutory operating profit = £4.5bn vs Underlying operating profit = £3.5bn

Much of the difference reflects foreign-exchange hedging: underlying results are translated at the rates achieved on hedges, whereas statutory results include the mark-to-market movement on those hedges.

An analyst should therefore avoid simply looking at the largest headline profit number.

The underlying measure can provide a better indication of operational performance, but it is still important to understand the reconciliation to statutory accounting figures.

Profitability Transformation

One of the strongest signals in Rolls-Royce's results is the improvement in operating margins.

2024: **13.8%** 2025: **17.3%** H1 2026: **22.5%** This is significant.

Revenue growth alone is not necessarily impressive if a company has to spend proportionally more to generate it.

Rolls-Royce is demonstrating something more attractive:

Revenue growth + margin expansion

This can produce disproportionately large increases in operating profit.

The 2025 increase in underlying operating profit was approximately £1bn, despite revenue growth being considerably smaller than that in percentage terms. Management attributed the improvement to strategic initiatives, commercial optimisation and cost efficiencies.

Free Cash Flow

For an investor, profit is not the same as cash.

A company can report strong accounting profits while generating relatively weak cash flow.

Free cash flow is therefore particularly important.

Rolls-Royce generated:

2024: £2.4bn 2025: £3.3bn H1 2026: £1.964bn

The 2025 increase was driven by stronger operating profit, LTSA balance growth and working-capital performance, partially offset by investment.

This is highly significant because free cash flow provides the company with the ability to:

- Repay debt;
- Invest in growth;
- Pay dividends;
- Repurchase shares;
- Strengthen the balance sheet;
- Fund R&D

The transformation is not merely improving accounting profitability but producing real cash.

Balance Sheet

Rolls-Royce's balance sheet has also strengthened substantially.

Net cash increased from:

£475m in 2024 to **£1.895bn in 2025** and then to **£2.136bn at 30 Jun 2026.**

Liquidity at the end of 2025 was approximately £8.7bn, including £6.2bn of cash and cash equivalents and £2.5bn of undrawn facilities.

A stronger balance sheet reduces financial risk. It also gives management more flexibility. For example, the company can invest in capacity or technology without relying excessively on external financing.

Working Capital

One of the less glamorous but highly important parts of the transformation has been working capital.

Working capital essentially concerns the cash tied up in areas such as:

- Inventory;
- Receivables;
- Payables.

Improving working capital can release cash without necessarily requiring additional revenue.

Rolls-Royce has focused on:

- Reducing inventory days;
- Reducing day sales outstanding;
- Reducing overdue debt;
- Improving supplier relationships;
- Improving planning systems.

The company states that working-capital management has materially strengthened during the transformation.

This shows that **cash conversion matters just as much as headline earnings.**

Cost Transformation

Rolls-Royce has also significantly improved cost discipline.

The company's total cash costs to gross margin rate – TCC/GM – fell to:

0.36x in 2025 from **0.47x in 2024**

The company describes 0.36x as a best-in-class ratio.

Its efficiency and simplification programme has delivered approximately **£0.6bn of savings since the start of 2022**, exceeding its £0.5bn target.

This matters because it suggests that part of the margin expansion has come from structural improvements rather than simply stronger demand.

2026: The Transformation Continues

The H1 2026 results provide the most important update to the 2025 investment thesis.

H1 2026

Metric	H1 2026	H1 2025	Change
Underlying revenue	£11.279bn	£9.057bn	24.5%
Underlying operating profit	£2.534bn	£1.733bn	46.2%
Operating margin	22.5%	19.1%	+3.4pp
Free cash flow	£1.964bn	£1.582bn	24.1%
Net cash	£2.136bn	£1.895bn*	12.7%
Return on capital	22.0%	16.9%	+5.1pp

*Net cash comparison is year-end 2025.

The figures show that the business continued to improve materially during the first half of 2026.

Raised FY2026 Guidance

Perhaps the strongest signal from the H1 results was management raising full-year guidance.

The company now expects:

Underlying operating profit: £4.7bn-£4.9bn **Free cash flow: £3.8bn-£4.0bn**

This is above the guidance given previously and indicates that management believes the first-half performance is sustainable enough to justify increasing expectations.

From an investment perspective, guidance upgrades are generally more informative than simply beating previous-year results because they indicate changing expectations about future performance

Capital Allocation

The improvement in cash generation has allowed Rolls-Royce to begin returning more capital to shareholders.

The company has reinstated dividends after strengthening its balance sheet.

The interim dividend announced in July 2026 was **6.0p per share.**

More importantly, the company has announced a substantial share buyback programme.

The multi-year programme totals: **£7bn-£9bn between 2026 and 2028**, with £2.5bn planned for 2026.

By the H1 2026 results, approximately £1.4bn of the planned £2.5bn 2026 buyback had been completed (£1.1bn by 30 June).

Why Share Buybacks Matter?

A share buyback reduces the number of shares outstanding.

If company earnings remain constant but the number of shares decreases, earnings per share can increase. For example:

Imagine a company generates £1bn of profit -> If there are 1 billion shares, EPS = £1.00
-> If the company buys back 100 million shares, £1bn/900m shares = EPS = £1.11

Therefore, buybacks can increase earnings per share without requiring additional operating profit.

For Rolls-Royce, the fact that management is moving towards significant buybacks indicates that the balance sheet and cash generation have improved sufficiently to allow capital to be returned to shareholders.

Order Backlog

Another important metric is the order backlog. At the end of 2025, Rolls-Royce reported an order backlog of approximately: **£88.1bn** compared with: **£82.1bn in 2024**

A large backlog provides some visibility into future activity.

However, an investor should not automatically interpret backlog as future profit. The profitability of individual contracts can differ substantially. Therefore: **backlog ≠ guaranteed profit.**

Instead, backlog should be assessed alongside:

- Expected margins;
- Delivery schedules;
- Contractual terms;
- Inflation;
- Supply-chain costs;
- Foreign exchange;
- Customer credit quality.

Competitive Advantages

Rolls-Royce has several significant competitive advantages.

1. **Engineering expertise**

   Developing aircraft engines requires enormous technical expertise and years of R&D. This creates a substantial barrier to entry.

2. **Installed engine base**

   Every engine installed creates potential future aftermarket revenue.

3. **Long-term customer relationships**

   Airlines, governments and defence customers require long-term support.

4. **Switching costs**

   Replacing an engine platform is extremely difficult. Aircraft manufacturers and airlines cannot simply switch engine suppliers overnight.

5. **Regulation and certification**

   Safety-critical aerospace products face significant regulatory requirements. These increase the barriers to entry.

6. **Brand and reputation**

   Rolls-Royce has a century-plus history in engineering and aerospace. In safety-critical industries, reputation is economically valuable.

Industry Position

Rolls-Royce operates in industries where there are very high barriers to entry.

In large commercial aircraft engines, its major competitors include:

- General Electric Aerospace
- Pratt & Whitney
- CFM International (a GE Aerospace–Safran joint venture)

However, the competitive landscape differs depending on the aircraft programme. Rolls-Royce is particularly important in large engines and widebody aircraft.

This creates a degree of concentration.

A small number of major engine manufacturers compete for major aircraft programmes.

This can be positive because successful engine platforms can generate decades of revenue.

But it also means that losing a major aircraft programme can have consequences for many years

Investment Opportunities

Opportunity 1: Continued margin expansion

The biggest near-medium-term opportunity is that Rolls-Royce may continue to improve margins.

The company is targeting: **18-20% group operating margin in the mid-term** and reported **22.5% in H1 2026.**

If higher margins prove sustainable, earnings could grow faster than revenue.

Opportunity 2: Civil Aerospace aftermarket

As global aviation activity increases, engine flying hours should increase.

That can support: **More flying hours -> more servicing -> higher aftermarket revenue**

This is potentially one of the most valuable structural characteristics of the company.

Opportunity 3: Defence spending

Geopolitical tensions and increased government defence budgets could support long-term demand.

Rolls-Royce's established positions in military propulsion and submarine nuclear propulsion give it exposure to this trend.

Opportunity 4: Data centres and AI

The growth of AI infrastructure is creating increasing electricity demand. This could drive demand for Power Systems' data-centre power-generation solutions.

This is one of the most interesting growth opportunities because it connects Rolls-Royce to a major secular trend outside traditional aerospace

Opportunity 5: Nuclear

Rolls-Royce SMR provides long-term optionality.

If small modular reactors become commercially successful, Rolls-Royce could establish a new major source of revenue.

However, this should be treated as a **long-term option**, rather than a major contributor to current earnings.

Opportunity 6: Capital returns

The combination of:

- Dividends;
- Share buybacks;
- Increasing free cash flow;
- Net cash

could provide an additional source of shareholder returns.

Key Risks

Risk 1: Supply-chain disruption

Rolls-Royce depends on a complex global supplier network.

Shortages of components, raw materials or specialist manufacturing capacity can delay production.

This can:

- increase costs;
- delay deliveries;
- reduce margins;
- affect cash flow.

The company has already highlighted supply-chain challenges in its recent reporting.

Risk 2: Civil aviation downturn

Civil Aerospace is exposed to airline activity.

A recession, geopolitical crisis, pandemic or other event could reduce:

- passenger demand;
- aircraft utilisation;
- flying hours;
- engine maintenance activity.

This would directly affect aftermarket revenue.

Risk 3: Contractual risk

Civil Aerospace contracts involve significant long-term assumptions.

The company must forecast:

- engine utilisation;
- time-on-wing;
- future maintenance requirements;
- exchange rates;
- lifecycle costs.

The Annual Report specifically highlights the judgement involved in forecasting the economics of Civil Aerospace aftermarket contracts.

This means the profitability of some contracts can change if assumptions change.

Risk 4: Foreign exchange

Rolls-Royce is a global business.

It earns revenue and incurs costs in multiple currencies.

Exchange-rate movements can therefore affect reported results.

The 2025 results demonstrate that currency movements can have a meaningful effect on the difference between underlying and statutory results.

Risk 5: Defence dependence on governments

Defence spending can be structurally attractive, but governments ultimately control budgets.

Changes in:

- political priorities;
- government spending;
- procurement decisions;
- international relations

can affect programmes.

Risk 6: Technological disruption

Aerospace is undergoing a long-term technological transition.

Potential developments include:

- sustainable aviation fuels;
- hybrid-electric propulsion;
- hydrogen;
- alternative propulsion;
- autonomous aircraft.

Rolls-Royce needs to invest heavily to remain technologically competitive.

Risk 7: Execution risk

Management's strategy is ambitious.

The company must continue to execute on:

- cost reduction;
- operational efficiency;
- aftermarket improvements;
- production growth;
- capacity expansion.

If execution weakens, the valuation could become difficult to justify.

Principal Risk Framework

Rolls-Royce has a formal enterprise-wide risk-management system.

Principal risks are assigned to members of the Executive Team and reviewed at executive and Board level. This is important because Rolls-Royce operates in industries where risk management is not optional.

A failure involving an aircraft engine or nuclear propulsion system could have consequences far beyond a normal commercial product failure. Therefore:

Safety + reliability + regulatory compliance = core economic characteristics of the business

Management Strategy

The transformation strategy can be simplified into five major objectives:

1. Improve profitability

Increase margins through pricing, efficiency and operational improvement.

2. Improve cash generation

Increase free cash flow through stronger profitability and working-capital management.

3. Strengthen the balance sheet

Move from significant financial pressure towards net cash.

4. Invest in growth

Expand areas such as data centres, defence, aftermarket services and nuclear.

5. Return capital to shareholders

Dividends and share buybacks.

This represents a shift from: **Survival / restructuring** towards: **Growth + returns**

That is a significant change in the company's investment profile.

Management's Mid-Term Targets

Rolls-Royce has upgraded its mid-term financial targets.

Metric	Mid-term target
Underlying operating profit	£4.9bn–£5.2bn
Operating margin	18–20%
Free cash flow	£5.0bn–£5.3bn
Return on capital	23–26%

These targets are based on a 2028 timeframe.

Compared with 2025:

- operating profit was £3.5bn;
- FCF was £3.3bn;
- operating margin was 17.3%.

Therefore, the remaining upside depends increasingly on **execution and growth**, rather than simply completing the initial turnaround.

The Investment Thesis

A concise investment thesis for Rolls-Royce could be:

Rolls-Royce has transformed from a financially underperforming engineering business into a high-cash-generating aerospace, defence and power-systems company, with further upside potentially coming from aftermarket growth, defence spending, data-centre power demand and improved capital allocation.

The bullish argument is:

Transformation → lower costs

Commercial optimisation → higher margins

Civil Aerospace recovery → higher engine utilisation

Aftermarket → recurring revenue

Defence → structural demand

Power Systems → data centres and energy infrastructure

Higher margins → higher operating profit

Higher operating profit → higher free cash flow

Higher free cash flow → dividends + buybacks + investment

This creates a potentially powerful compounding cycle.

The Bear Case

The bear case is equally important. An investor could argue that:

1. Much of the easy transformation work has already happened.
2. The company's valuation may already reflect substantial future growth.
3. Civil Aerospace remains exposed to airline and aviation cycles.
4. Supply-chain problems could restrict growth.
5. Defence programmes can involve long development cycles.
6. Data-centre growth expectations could become too optimistic.
7. SMR is a long-term opportunity rather than a current earnings driver.
8. Margins of 22.5% in H1 2026 may prove difficult to sustain at the full-year level.
9. Currency and contractual assumptions remain significant.
10. Any operational setback could lead to a sharp change in investor expectations.

Therefore, the question is not simply: "Is Rolls-Royce a good company?"

The more important investment question is:

"Is Rolls-Royce's future growth and cash generation sufficiently attractive relative to the current share price?"

What I Would Monitor as an Investor

If I owned Rolls-Royce shares, I would monitor the following KPIs.

Civil Aerospace

- Engine flying hours
- LTSA revenue
- Services revenue
- Time-on-wing
- Shop visits
- Widebody aircraft demand
- Installed engine fleet

Defence

- New programme wins
- OE revenue
- Services revenue
- Government defence budgets
- Margin progression

Power Systems

- Data-centre orders
- Power-generation revenue
- Governmental revenue
- Battery-storage orders
- Service revenue

Group

- Operating margin
- Free cash flow
- Return on capital
- Net cash
- TCC/GM ratio
- Order backlog
- R&D expenditure
- Buybacks
- Dividend growth

These KPIs would allow an investor to determine whether the transformation is actually continuing.

Why the 2026 Results are Important

The H1 2026 results significantly strengthen the investment case.

The company did not simply report another year of improvement.

It reported:

- 25% growth in underlying revenue;
- 46% growth in underlying operating profit;
- a 22.5% operating margin;
- £2.0bn of free cash flow;
- £2.1bn net cash;
- increased shareholder returns;

- increased FY2026 guidance.

Most importantly, management increased its FY2026 expectations to £4.7bn–£4.9bn underlying operating profit and £3.8bn–£4.0bn free cash flow.

This suggests the transformation has not stalled.

SWOT Analysis

Strengths	Weaknesses
World-leading engineering expertise	Capital-intensive industry
Strong barriers to entry	Significant exposure to Civil Aerospace
Large installed engine base	Complex long-term contracts
Recurring aftermarket revenue	Supply-chain dependency
Strong defence positions	Significant R&D requirements
Increasing free cash flow	Exposure to FX
Strengthening balance sheet	Complex business model
Opportunities	**Threats**
Commercial aviation growth	Global recession
Widebody fleet expansion	Airline downturn
Defence spending	Geopolitical disruption
Data-centre power demand	Supply-chain disruption
Battery energy storage	Technological disruption
Small modular reactors	Contractual cost overruns
Share buybacks	Foreign exchange volatility

Overall Investment Assessment

Business quality: Strong

Rolls-Royce possesses significant competitive advantages, including engineering expertise, installed fleets, long-term customer relationships and high barriers to entry.

Financial momentum: Very strong

The improvement from 2024 to 2025 and into H1 2026 is substantial.

Balance sheet: Strong and improving

Net cash has increased significantly, providing greater financial flexibility.

Growth outlook: Attractive

Civil Aerospace, Defence, Power Systems, data centres and potentially nuclear provide multiple sources of growth.

Risk: Moderate–high

The company operates in technically complex and capital-intensive industries with significant contractual, operational and geopolitical risks.

Investment attractiveness: Potentially strong, but valuation-dependent

The company appears fundamentally much stronger than it was several years ago.

However, the strength of the investment opportunity depends on whether the current share price already reflects the expected improvement.

Final Investment View

My fundamental view of Rolls-Royce is **positive**, but I would not describe the investment simply as a "cheap turnaround".

The more interesting thesis is that Rolls-Royce is becoming a **high-quality compounder with multiple structural growth drivers**.

The transformation has already produced:

- significantly higher margins;
- stronger cash generation;
- a stronger balance sheet;
- improved capital discipline;
- increasing shareholder distributions.

The next stage is more demanding. Investors now need to determine whether Rolls-Royce can sustain its improved margins while continuing to grow revenue and free cash flow.

The strongest parts of the investment thesis are likely to be:

1. Civil Aerospace aftermarket growth;
2. increased aircraft utilisation;
3. defence spending;
4. Power Systems growth from data centres;
5. continued operational efficiency;
6. increasing free cash flow;
7. shareholder buybacks.

The key risk is that expectations become too high.

If Rolls-Royce continues to deliver against its 2028 targets, there could be significant further earnings and cash-flow growth.

If growth slows materially or margins fall, however, the company's valuation could become vulnerable.

Therefore, the next stage of this investment project should be to move from **company research** to **valuation**.

Investment Project Conclusion

Rolls-Royce provides an excellent case study for fundamental investment analysis because it combines:

- **A complex business model**
- **A major corporate transformation**
- **Improving financial statements**
- **Structural industry growth**
- **Significant risks**
- **A question of valuation**

This makes it considerably more interesting than simply analysing a company with consistently high growth.

The key investment question can ultimately be expressed as:

Can Rolls-Royce convert its engineering advantages and transformation programme into sustainable £5bn+ annual free cash flow, and is the current market valuation attractive relative to that future cash generation?

That question should form the basis of the next stage of the project.

Key Sources

Primary sources used for this report:

1. Rolls-Royce Holdings plc — 2025 Annual Report. https://www.rolls-royce.com/~/media/Files/R/Rolls-Royce/documents/annual-report/2026/2025-annual-report-interactive.pdf
2. Rolls-Royce Holdings plc — 2025 Full Year Results, 26 February 2026. https://www.rolls-royce.com/investors/results-reports-and-presentations/financial-results/rr-holdings-plc-2025-full-year-results.aspx
3. Rolls-Royce Holdings plc — 2026 Half Year Results, 30 July 2026. https://www.rolls-royce.com/media/press-releases/2026/30-07-2026-rr-holdings-plc-2026-half-year-results.aspx

The analysis intentionally prioritises company filings and investor disclosures rather than secondary financial websites, because using primary sources is the stronger approach for an investment-research project.

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